

Platzi: fast growth, but B2C retention decides whether it's profitable

FP&A review for the CEO & CFO · Data: Jan 2023 – Apr 2024 (16 months, simulated datasets) · Prepared by Monica Chia · Interactive dashboard: [platzi-challenge-3wrgxevauckcvnh6rbdvaf.streamlit.app](#)

Bottom line

- Growth is real and margins are scaling.** MRR reached **\$204.7k** (×5.9 in 12 months) and gross margin turned from negative to **41%** as revenue outgrew the cost base. The company still runs an operating loss (–\$78k in Apr-24), but it has narrowed by ≈ \$9k a month since Nov-23.
- B2B is the economic engine; B2C loses money on every paid acquisition.** SMB and Enterprise earn 3–4× their acquisition cost at today's margin. B2C earns back only 0.5–0.7×.
- Churn is the leak, and it's visible before it happens.** Customers who barely use the product in a billing period are the ones who leave. A mid-cycle alert-and-save program is the fastest, cheapest lever (+\$7.7k MRR in 6 months).

\$204.7k
MRR, Apr-24

1,941
Active subscribers

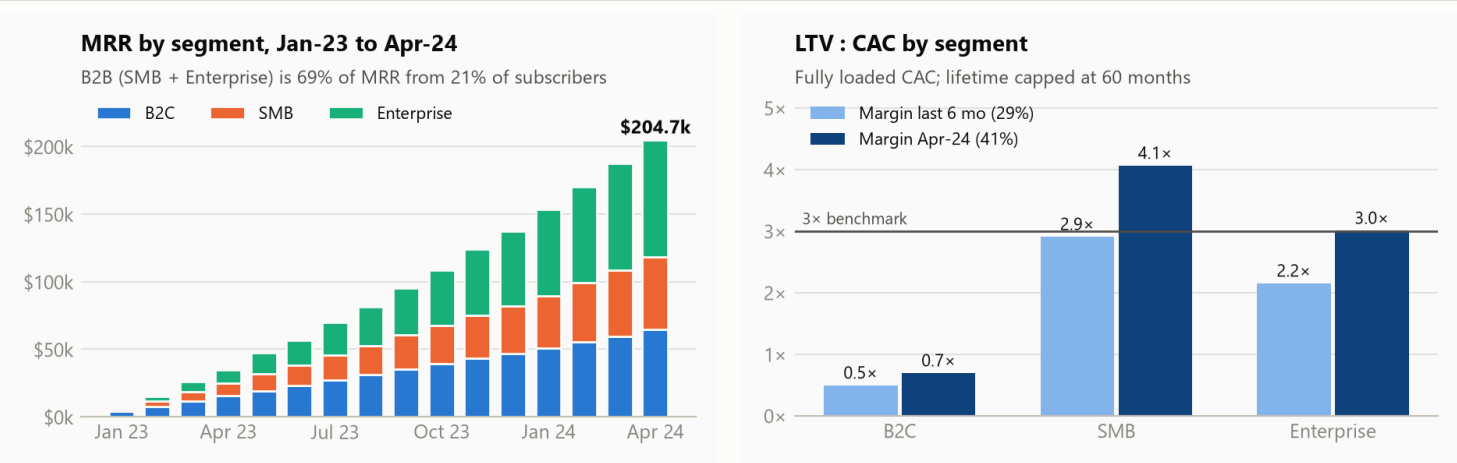
90.1%
Q1-24 renewal rate (B2C 89.5% · B2B 93.8%)

63.7%
NDR, trailing 12 mo (81.6% trailing 6 mo)

41%
Gross margin, Apr-24 (29% 6-mo avg)

Answers to the four questions

Question	Answer	How it's measured
1. MRR, April 2024	\$204,709 : B2C \$64,365 (31%) · SMB \$53,869 (26%) · Enterprise \$86,475 (42%)	Sum of the monthly-normalized MRR of subscriptions active on 30-Apr-24 (annual plans ÷ 12)
2. Q1-24 retention	90.1% of renewals renewed. B2C 89.5% vs. B2B 93.8% (SMB 93.8%, Ent 93.9%). In \$: 92.2% · 89.5% · 95.2%	Subscriptions whose period ended Jan–Mar 24: renewed ÷ (renewed + churned)
3. Active subscribers, Apr-24	1,941 : B2C 844 monthly / 692 annual · SMB 113 / 190 · Enterprise 12 / 90	Subscription period covers 30-Apr-24
4. NDR, trailing 12 months	63.7% (gross retention 59.9%). B2C 43.1% · SMB 89.8% · Enterprise 71.8%	MRR in Apr-24 ÷ MRR in Apr-23 of the 417 customers active in Apr-23. A small, early base; on 6 months (1,124 customers): 81.6%



What the numbers say

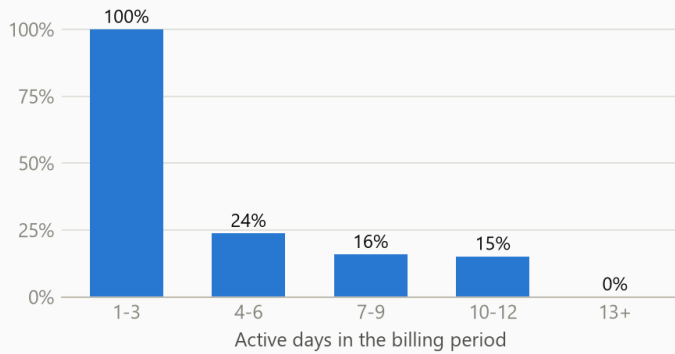
- 1 · B2B carries the business: Enterprise drives MRR growth, SMB drives expansion.**

B2B is 69% of MRR from 21% of subscribers; in 12 months Enterprise added +\$76k of MRR and SMB +\$45k. At today's 41% margin, SMB returns **4.1×** its fully loaded acquisition cost (payback ≈ 10 months) and Enterprise **3.0×** (≈ 12 months); on the conservative 6-month margin and allowing for churn, payback stretches to ≈ 17 and ≈ 21 months. SMB also generates **4×** more expansion revenue than Enterprise. Contraction is negligible (< 1.2% of starting MRR); churn is what drags NDR.
- 2 · Paid B2C acquisition doesn't pay back today.**

B2C takes 52% of the marketing budget (\$790k of \$1.52M). It costs **\$392** to win a paying B2C customer, who generates ≈ **\$200–280** of gross profit over their life. Marketing's "new users" are sign-ups: only ~10% become paying subscribers, so the \$37 cost per sign-up looks deceptively cheap. B2C monthly subscribers churn ≈ 10% a month, and no subscriber has ever switched to the stickier annual plan.

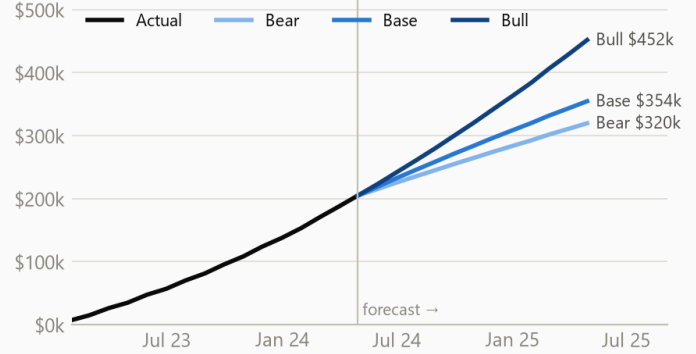
Churn rate by in-period engagement

Share of billing periods that ended in churn



MRR outlook to Apr-25

Base case: flat acquisition at the last-6-month average



3 · Churn is predictable, but only within the billing period.

Periods with ≤ 3 active days all churned; periods with 13+ days never did (the simulated data makes this sharper than reality will be). Last month's usage does *not* predict this month's churn, so the signal has to be acted on **mid-cycle**. Of the **1,024** subscriptions renewing in May-24 (\$87.8k MRR), **72 are high-risk**; the named list is ready for Customer Success. Caveat: the data records usage per whole billing period, so the day 10–15 trigger must be validated with daily usage data in the pilot.

4 · Operating leverage is kicking in.

Revenue grew 28× from Jan-23 to Apr-24 while delivery costs grew 1.7×, lifting gross margin from deeply negative to 41%. Each dollar of retained MRR now largely drops to gross profit, which makes retention the highest-return use of the next dollar. After marketing and G&A the business is still loss-making (–\$78k in Apr-24; –\$2.0M over 16 months), but the monthly loss has shrunk from –\$122k in Nov-23.

Recommendations (ranked by effort vs. impact)

Initiative	MRR in 6 mo	NDR	Effort · time	Why
1. Mid-cycle low-engagement alert + save play: flag subs with low usage by day 10–15; in-app nudges for B2C, a CSM call for B2B. Start with the May-24 list.	+\$7.7k (+2.7%)	+2.7 pp	Low · 1 month	Rule-based, uses data we already have. Assumes 20% of flagged churners are saved (range 10–30% → +\$3.8k to +\$11.8k).
2. B2B expansion & renewal playbook: quarterly business reviews for SMB seat growth; a save motion at Enterprise's 2nd renewal, where its contraction concentrates.	+\$1.6k (+0.6%)	+0.6 pp	Medium · 3 months	Compounds the segment with the best unit economics; no downside.
3. B2C monthly → annual offer: a prepaid annual plan pitched to engaged monthly users.	–\$0.9k (–0.3%)	–0.2 pp (+0.8 at 12 mo)	Medium · breakeven ~9 mo	Annual churn is ~4%/yr vs. ~10%/mo monthly, but each switch cuts MRR from \$49 to \$33. Brings ≈ \$72k cash upfront in 6 months. Launch after #1.

Capital allocation: hold B2C paid acquisition flat until conversion and retention improve (target LTV:CAC $\geq 3\times$), and redirect incremental budget to B2B (SMB and Enterprise, 3–4× LTV:CAC at today's margin).

12-month outlook (to Apr-25)

Base: \$354k MRR (+73%), 3,119 subscribers, assuming acquisition stays flat at the last-6-month average and churn continues at recent rates (a prudent case). **Bear: \$320k** (higher churn, flat-to-lower acquisition, half the expansion). **Bull: \$452k** (acquisition keeps trending up and all three initiatives deliver). When back-tested on the last 6 months, the model's average error was about 10% of actual MRR (it under-forecast, because growth accelerated).

Key assumptions & caveats

- MRR comes from subscriptions; payment amounts are list prices and don't reflect B2B price changes.
- CAC = marketing + sales spend + a share of G&A, ÷ new *paying* customers (not sign-ups).
- Delivery costs (CS, infrastructure, content) are allocated by MRR share, so all segments get the same margin %. LTV is capped at 60 months.
- 12-month NDR rests on 417 early customers (12 Enterprise); the 6-month view is more robust.
- Each user = one customer: B2B company domains mix segments, so accounts can't be rebuilt.

Next steps

- Pilot the engagement alert on the May-24 list; measure the save rate against a holdout group.
- A/B test the annual offer (price point and timing) before a full rollout.
- Add seat and account IDs for B2B, and channel attribution for paying customers, to sharpen CAC and expansion analysis.
- Interactive dashboard (filter by segment, churn-risk list, scenario sliders): <https://platzi-challenge-3wrgxeuavckvnh6rbdvaf.streamlit.app/>. Model and SQL: see the accompanying files. Every number here is reproducible from the SQL pipeline.